HANGS Construction Services LLC

FINANCIAL STATEMENTS

2150 Harbor Ridge Ave S, Suite 300, Seattle, WA 98134 · accounting@hangs-gc.example

Balance sheet at June 30, 2026 · As delivered to Cinderbrook Bank on October 23, 2026

Cash	$5,534,665.71
Contract receivables	$9,915,260.00
Retainage receivable	$1,161,125.00
Costs and estimated earnings in excess of billings	$61,250.00
Prepaid expenses and deposits	$296,400.00
Total current assets	**$16,968,700.71**
Construction equipment, net	$4,654,500.00
Total assets	**$21,623,200.71**
Accounts payable	$6,140,882.65
Retainage payable	$1,302,600.00
Accrued wages and payroll liabilities	$376,218.79
Sales tax payable	$571,904.20
Other accrued liabilities	$286,400.00
Billings in excess of costs and estimated earnings	$975,500.00
Line of credit	$1,800,000.00
Current portion of term loan	$720,000.00
Total current liabilities	**$12,173,505.64**
Term loan, less current portion	$2,160,000.00
Total liabilities	**$14,333,505.64**
Shareholders' equity	$7,289,695.07
Total liabilities and shareholders' equity	**$21,623,200.71**

Statement of income, year ended June 30, 2026

Contract revenue	$68,989,500.00
Cost of revenue	$62,015,372.55
Gross profit	**$6,974,127.45**
General and administrative expenses	$5,516,004.50
Interest expense	$333,032.55
Net income	**$1,125,090.40**

Demonstration document. Every name and figure is invented.

HANGS Construction Services LLC · Notes to the FY2026 financial statements (excerpt)

Shareholders' equity	
Beginning of year	$6,524,604.67
Net income	$1,125,090.40
Dividends to shareholders	($360,000.00)
End of year	**$7,289,695.07**

1. Revenue on contracts is recognized over time, measured by costs incurred to date against estimated total costs. Retainage receivable is classified as current under the operating cycle of the contracts, which may exceed one year.

2. Debt. The revolving line of credit with Cinderbrook Bank ($1,800,000.00 at June 30, 2026) is due at maturity on March 31, 2027. The equipment term loan ($2,880,000.00) is payable at $60,000.00 a month with the balance due on March 31, 2030; $720,000.00 is due within one year. On March 16, 2026 the bank applied $180,000.00 from an equipment sale to the term loan. Interest is recorded when the bank debits it.

3. Related party. The company builds Juniper Ridge Partners (job J-2625) for Juniper Ridge Partners LLC, under the same owners. At June 30, 2026 it owed $277,875.00 (account 1210) and $14,625.00 of retainage.

4. Leases. The company leases its office under a lease that began a new 60-month term on January 1, 2026. The company has not recognized right-of-use assets or lease liabilities. At June 30, 2026 the present value of the remaining office rent, discounted at 7.10%, was $1,484,173.90, of which $290,219.17 is due within one year. Equipment rentals are expensed as incurred.

Prepared by Dana Whitfield, Controller. Reviewed by the board on October 20, 2026.

Demonstration document. Every name and figure is invented.